“Is the Power of Attorney Enough?”

Plain, general answers about the legal side when a parent needs care now, and who can answer each question for Mom.

You're not the first family to find a power of attorney in a drawer and wonder what it lets you do. These are the questions that come up most, answered in general terms.

None of the answers is about Mom's papers in particular. Where a question needs someone who has read them and knows your state, the answer says who to ask.

1 Do we need an elder law attorney now?

A general page can't answer that for your family. It can say which questions are legal ones: who can act for Mom, what an existing document allows, and any change to who owns the house or other property. The Consumer Financial Protection Bureau's guide for people managing a relative's money says Medicaid is complicated, and to get legal advice and be very careful about decisions that may affect eligibility for Medicaid. [1]

> **ASK A PROFESSIONAL WHEN** someone in the family is getting ready to sign for Mom, change a name on the house or an account, or give something away. Take it to an elder law attorney while it is still an idea.

2 What does a power of attorney actually do?

It is a legal document that allows someone else, called the agent, to act on a person's behalf. How far that goes depends on the paper: the CFPB's guide for agents says an agent's authority is strictly limited to what the document and state law allow, and that a power of attorney may take effect right away or only when the person can no longer make her own decisions. [2] [1]

> **ASK A PROFESSIONAL WHEN** you've read Mom's and can't tell what it covers or whether it is in effect. That's for an elder law attorney, with the document in hand.

3 Does our existing power of attorney or trust allow us to do what needs to be done?

It depends on the document, on your state and on what needs doing, and only an attorney who has read it can say. In general, an agent can do what the document and state law allow, and a trustee can manage only the money or property that is in the trust. What you can do now is write down each document's date, who it names, and the things you expect to need to do for Mom. [1] [3]

> **ASK A PROFESSIONAL WHEN** you need to act for Mom and aren't sure the paper lets you. Ask an elder law attorney before you rely on it.

4 Is a health care power of attorney the same thing?

It's a different document. A health care power of attorney gives authority to make health care decisions; MedlinePlus describes it as naming a health care proxy, someone trusted to make health decisions if the person is unable to. A living will is different again: it tells which treatments a person wants if they are dying or permanently unconscious. [3] [4]

> **ASK A PROFESSIONAL WHEN** the hospital or rehab asks who makes health decisions for Mom and you aren't sure which paper answers that. Ask the social worker what they need, and the attorney what the document says.

5 What if Mom never signed a power of attorney, or we can't find one?

Start by treating it as not found yet: ask close relatives and anyone who may have helped her with her papers. If there isn't one, what comes next depends on Mom and on your state. The CFPB says that when no power of attorney is in place, a family member might have to go to court to have a guardian appointed if a person becomes unable to make decisions for herself. Whether that is anywhere near Mom's situation is for an attorney to say. [2]

> **ASK A PROFESSIONAL WHEN** no document turns up, or the family isn't sure what Mom is able to sign now. Bring that to an elder law attorney as a question.

6 Mom has a trust. Doesn't that take care of it?

It depends on what kind of trust it is, what it says and what was put into it. A trustee can manage only the money or property in the trust, and the CFPB's guide for trustees says a living trust is ineffective unless the person puts her money or property into it. Medicaid.gov says a trust that a person, a spouse or someone acting for them sets up with at least some of the person's own funds can be considered available to that person when eligibility is determined, so how Mom's would be treated is a question for an attorney who has read it. [3] [5] [6]

> **ASK A PROFESSIONAL WHEN** there is a trust of any kind among Mom's papers. Bring the whole document, and anything showing what is titled in its name.

7 Can we transfer the house or other assets without hurting Medicaid eligibility?

This page can't answer that: how a transfer would be treated depends on the details and on your state. The CFPB tells people acting under a power of attorney to get legal advice and be very careful about decisions that may affect eligibility for Medicaid. What you can do is get the facts straight: how the house is titled, any gifts or transfers already made, with dates, and any change the family is talking about. [1]

> **ASK A PROFESSIONAL WHEN** anyone is thinking about putting the house in another name, adding a name to an account, or moving money. Bring the facts to an elder law attorney before anything is acted on.

8 What does a Medicaid planner do here, and what does the attorney do?

Your Medicaid planner helps you identify the legal issues that could affect the Medicaid plan and organize the facts and documents for the attorney's review. An elder law attorney reviews the authority, ownership, trust and transfer questions and gives legal advice before any strategy with legal consequences is put in place. Afterward, your Medicaid planner updates the overall plan based on the attorney's recommendations.

> **ASK A PROFESSIONAL WHEN** you can't tell which of them a question belongs to. Ask either one whose it is.

9 How do we find an elder law attorney, and what if we can't afford one?

The Family Caregiver Alliance says a family can ask its local Area Agency on Aging for a legal consult or hire an attorney who specializes in eldercare law. If cost is the worry, USA.gov lists programs that give free legal advice and may help you find a free or low-cost attorney; some limit their services to people with low incomes. [7] [8]

> **ASK A PROFESSIONAL WHEN** you aren't sure whether a legal aid program can take on Mom's situation. Ask the program itself.

10 What should we have ready before we meet the attorney?

The documents you've found and a list of the ones you haven't, who each one names, the facts about the house and any gifts or changes, the financial information you've organized, and your questions on one page. The CFPB's guide makes the point for anyone managing a relative's affairs: to make careful decisions, you need to know what she owns and owes. You don't need everything; a clear note of what is missing is useful too. [1]

> **ASK A PROFESSIONAL WHEN** you aren't sure what a particular attorney wants to see. Ask the office when you arrange the meeting.

What this guide doesn't do

It doesn't answer any question about Mom's own papers, her house or her eligibility for anything. Those depend on the documents, the facts and your state, and they need an elder law attorney. Nothing here is legal, financial or tax advice.

Ready for the next step?

You have plain answers to the general questions, and you know which ones are waiting for an attorney. The planning interview is where the questions become about your family: it asks about your situation and gives you a free planning report you can bring to your Medicaid planner, to an elder law attorney, or to any conversation about paying for Mom's care.

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1. Consumer Financial Protection Bureau, Managing someone else's money: Help for agents under a power of attorney
2. Consumer Financial Protection Bureau, What is a power of attorney (POA)?
3. Consumer Financial Protection Bureau, Considering a financial caregiver? Know your options
4. MedlinePlus (National Library of Medicine), Advance Directives
5. Consumer Financial Protection Bureau, Managing someone else's money: Help for trustees under a revocable living trust
6. Centers for Medicare & Medicaid Services (Medicaid.gov), Eligibility Policy
7. Family Caregiver Alliance, What should I do to help get my family member's legal and financial affairs in order?
8. USA.gov, Find a lawyer for affordable legal aid